VU NEXUS

Business and Labour Laws - MGT 611

Lecture wise mcqs 19-45

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Lesson 19 CONTRACT OF GUARANTEE & INDEMNITY

1. **A contract of guarantee is a contract to perform the promise or discharge the liability of a third person in case of his default.**

   Who is the person giving the guarantee called?

   a) Principal debtor

   b) Creditor

   c) Surety ✓

   d) Agent

2. **In a contract of guarantee, the person in respect of whose default the guarantee is given is called:**

   a) Guarantor

   b) Principal debtor ✓

c) Creditor

d) Bailor

3. **A guarantee may be given in which of the following forms?** a) Oral only

b) Written only

c) Either oral or written ✓

d) Only in electronic form

4. **Which of the following is NOT an essential element of a contract of guarantee?** a) Consideration

b) Free consent

c) Writing is mandatory ✓

d) No misrepresentation

5. **In a contract of guarantee, the primary liability is on which party?** a) Surety

b) Creditor

c) Principal debtor ✓

d) Agent

6. **A secondary contract in a contract of guarantee exists between:**

a) Principal debtor and creditor

b) Surety and creditor ✓

c) Creditor and bank

d) Bank and principal debtor

7. **If the surety pays the debt of the principal debtor, he gets the right to recover the amount from the:** a) Creditor
   b) Government
   c) Principal debtor ✓
   d) None of the above

8. **Which of the following is a valid example of a contract of guarantee?**
   a) Loan taken by a person with a guarantor ✓
   b) Selling a car on installments
   c) Opening a bank account
   d) All of the above

9. **If a contract does not have a principal debtor, it cannot be considered a:** a) Contract of sale
   b) Contract of bailment
   c) Contract of guarantee ✓
   d) Contract of indemnity

10. **Which of the following types of guarantee covers a series of transactions?** a) Specific Guarantee
    b) Continuing Guarantee ✓
    c) Personal Guarantee
    d) Implicit Guarantee

11. **A surety can be held liable even if the creditor has not exhausted all legal remedies against the:** a) Court
    b) Principal debtor ✓

c) Government

d) Third party

12. **If the surety is discharged from liability, it means:**

    a) The creditor cannot sue him anymore ✓

    b) The principal debtor is also free from liability

    c) The guarantee becomes a personal contract

    d) None of the above

13. **A contract of guarantee becomes invalid if:**

    a) There is misrepresentation ✓

    b) It is given in written form

    c) The surety is a government employee

    d) The principal debtor defaults

14. **What is the main purpose of a contract of guarantee?**

    a) To provide employment

    b) To reduce business risks

    c) To assure the creditor that the debt will be paid ✓

    d) To avoid legal obligations

15. **If a person enters into a guarantee without the knowledge and consent of the principal debtor, then:**

    a) The guarantee is still valid ✓

b) The guarantee is automatically void

c) The creditor must ask the debtor to sign a new agreement

d) The guarantee turns into a contract of indemnityWould you like any modifications or additional explanations?

Lesson 20 covers **Contracts of Bailment, Pledge, and Agency** . Here are **15 multiple-choice questions (MCQs)** based on this topic, with the correct answers marked.

MCQs on Contracts of Bailment, Pledge & Agency

1. **Which section of the Contract Act defines Bailment?**

a) Section 138

b) Section 145

c) Section 148 ✓

d) Section 155

2. **In a contract of bailment, the person who delivers goods is called:** a) Bailee

b) Bailor ✓

c) Pledger

d) Debtor

3. **Which of the following is NOT an essential element of bailment?**

a) Delivery of goods

b) Ownership transfer ✓

c) Purpose of delivery

d) Return of goods

4. **Bailment is applicable only to which type of goods?**

a) Immovable property

b) Fixed deposits

c) Movable goods ✓

d) Shares

5. **When does a contract of bailment terminate?**

a) When bailee wishes

b) When bailor dies

c) When the purpose is completed ✓

d) None of the above

6. **A pledge is also known as:**

a) Mortgage

b) Hypothecation

c) Pawn ✓

d) Bailment

7. **In a contract of pledge, who is the person that delivers the goods?**

a) Pledger ✓

b) Pawnor

c) Pledgee

d) Both a & b

8. **The bailee is bound to take as much care of the goods bailed to him as:**

a) A careless person

b) An ordinary prudent person ✓

c) The bailor himself

d) None of the above

9. **Which of the following is NOT a right of a bailee?**

a) Right to claim expenses

b) Right to lien

c) Right to use goods for personal use ✓

d) Right to compensation

10. **In pledge, the pledgee gets:**

a) Ownership of goods

b) Possession of goods ✓

c) Both ownership and possession

d) None of the above

11. **Which of the following is an example of bailment?**

a) Leasing a house
b) Keeping luggage in a cloakroom ✓
c) Buying a car
d) Taking a loan

12. **A bailment without consideration is called:**

a) Gratuitous bailment ✓
b) Simple contract
c) Non-binding bailment
d) None of the above

13. **The right of lien means:**

a) Right to sell goods
b) Right to keep goods until payment is received ✓
c) Right to terminate the contract
d) Right to claim damages

14. **A contract of agency is created to:**

a) Transfer ownership of goods
b) Create a principal-agent relationship ✓
c) Bail goods for a purpose
d) None of the above

15. **In case of a pledge, if the pawnor defaults, the pawnee has the right to:** a) Destroy the goods

b) Keep them permanently

c) Sell the goods to recover dues ✓

d) Return them to the pawnor

Would you like any modifications or additional explanations?

21

Lesson 21 covers **Contract of Agency** . Below are **15 multiple-choice questions (MCQs)** based on this lesson, with the correct answers marked.

MCQs on Contract of Agency

1. **Which of the following is NOT a way to create an agency relationship?** a) By consent

b) By operation of law

c) By ratification

d) By accident ✓

2. **In an agency by estoppel, the principal is bound by the acts of the agent because of:** a) A written agreement
   b) The principal's conduct ✓
   c) An oral contract
   d) A government regulation

3. **An agent is authorized to do all necessary acts to protect the principal's interest in case of an emergency. This is called:**
   a) Agency by estoppel
   b) Agency by necessity ✓
   c) Agency by agreement
   d) Agency by consideration

4. **An agent's authority can be classified into which of the following?**
   a) Express and implied authority ✓
   b) Direct and indirect authority
   c) Limited and full authority
   d) Principal and secondary authority

5. **Which of the following statements about agency relationships is FALSE?**
   a) An agent acts on behalf of the principal
   b) The principal is liable for the authorized acts of the agent
   c) An agency must always be in writing ✓
   d) An agent can act in emergencies to protect the principal's interest

6. **Which section of the Contract Act states that an agent has authority in an emergency?**

a) Section 178

b) Section 187

c) Section 189 ✓

d) Section 195

7. **A contract of agency is valid when it is created by:**

a) Oral agreement

b) Written contract

c) Conduct of parties

d) Any of the above ✓

8. **A relationship where a person allows another to act on their behalf is called:**

a) Employment contract

b) Contract of bailment

c) Contract of agency ✓

d) Contract of indemnity

9. **Which of the following is an example of implied authority?**

a) A real estate agent signing documents on behalf of the owner

b) A manager ordering office supplies for daily use ✓

c) A cashier closing a shop

d) A teacher making school policies

10. **What is the effect of ratification by the principal?**

a) It makes an unauthorized act valid ✓

b) It cancels the agent's authority

c) It creates a new contract

d) It transfers ownership

11. **An agency relationship is primarily based on:**

a) Ownership transfer

b) Trust and confidence ✓

c) Property possession

d) Shareholding

12. **An agent who is appointed to do a specific task is called a:**

a) General agent

b) Special agent ✓

c) Universal agent

d) Implied agent

13. **In agency by estoppel, the principal is liable if:**

a) The agent misrepresents facts

b) The principal creates an impression that the agent has authority ✓

c) The agent acts negligently

d) The third party is unaware of the agency

14. **If an agent acts beyond their authority, the principal can:**

a) Be automatically liable

b) Ratify the act ✓

c) Sue the third party

d) Cancel the agency contract

15. **Which of the following terminates an agency relationship?**

a) Principal's insanity ✓

b) Agent's promotion

c) Change in employment rules

d) Agent's absence from duty

Would you like me to modify or explain any question? ?

22

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Lesson 22 covers additional aspects of the **Contract of Agency**, including types of agents and their duties . Below are **15 multiple-choice questions (MCQs)** based on this topic, with correct answers marked.

MCQs on Contract of Agency (Lesson 22)

1. **Which of the following is NOT a type of agent?**
   a) Public Agent
   b) Private Agent
   c) Universal Agent ✓
   d) General Agent
2. **A public agent represents:**
   a) Individuals
   b) Companies
   c) The State ✓
   d) Non-Governmental Organizations
3. **Which of the following is a duty of an agent under Section 211 of the Contract Act?** a) To ignore the principal's instructions
   b) To conduct business as per principal's directions ✓
   c) To act in his own interest

d) To make secret profits

4. **A special agent is appointed for:**

a) Multiple transactions

b) A specific transaction ✓

c) All types of contracts

d) No legal transactions

5. **An agent who acts along with the principal is called a:**

a) Private Agent

b) Co-Agent ✓

c) General Agent

d) Universal Agent

6. **An agent must render proper accounts to:**

a) Third parties

b) The court

c) The principal ✓

d) The government

7. **Which section of the Contract Act states that an agent must pass on benefits derived to the principal?** a) Section 215

b) Section 218 ✓

c) Section 200

d) Section 195

8. **If an agent does not follow the principal's instructions and causes a loss, he is:** a) Not responsible

b) Liable to compensate the principal ✓

c) Free from any liability

d) Only partially responsible

9. **An agent must show the required level of:**

a) Negligence

b) Personal opinion

c) Skill and diligence ✓

d) Business ownership

10. **A broker who sells goods on credit when it is not customary must:** a) Ignore the risk

b) Make good the loss to the principal ✓

c) Claim loss from the government

d) Avoid responsibility

11. **If an agent was instructed to insure goods but failed to do so, he is liable for:**

a) Damages equal to the value of the goods ✓

b) No loss

c) Half the amount of goods

d) Only moral responsibility

12. **An agent is bound to conduct business as per:**

a) His own will

b) Custom of the trade ✓

c) Third-party influence

d) Government regulations

13. **If an agent wrongfully warehouses goods at another location and they are destroyed, he is:**

a) Free from liability

b) Liable for the value of the goods ✓

c) Partially responsible

d) Only responsible for half the value

14. **An agent can be held responsible for:**

a) Acts of fraud committed by his subordinates if he fails to supervise them ✓

b) Every mistake of the principal

c) Losses in the business

d) Personal debts of the principal

15. **Which section of the Contract Act states that an agent must act with diligence?** a) Section 211 ✓

b) Section 250

c) Section 198

d) Section 220

Would you like any modifications or further explanations?

23

Lesson 23 covers the **Law of Partnership—Kinds & Mutual Rights & Duties** under the **Partnership Act, 1932****15 multiple-choice questions (MCQs)** with correct answers marked.

MCQs on Law of Partnership

1. **A partnership is defined as a relationship between persons who have agreed to share the profits of a business carried on by a or any of them acting for all. This definition is given in:**
   a) Section 1 of the Partnership Act
   b) Section 4 of the Partnership Act ✓
   c) Section 10 of the Companies Act
   d) Section 15 of the Business Laws
2. **Individuals in a partnership are called:**
   a) Directors

b) Members

c) Partners ✓

d) Shareholders

3. **Which of the following is NOT an essential element of a partnership?**

a) Agreement between partners

b) Sharing of profits and losses

c) Existence of a business

d) Registration of the firm ✓

4. **A partnership can be formed with a minimum of:**

a) 1 person

b) 2 persons ✓

c) 5 persons

d) 10 persons

5. **The name under which a partnership business is carried on is called:**

a) Trade name

b) Company name

c) Firm name ✓

d) Business title

6. **Which of the following statements about a partnership is TRUE?**

a) Partnership requires compulsory registration

b) Partnership has a separate legal identity

c) Partners are jointly and severally liable ✓

d) A minor can be a full-fledged partner

7. **Which of the following is NOT a type of partnership?**

a) General partnership

b) Limited liability partnership

c) Private partnership ✓

d) Partnership at will

8. **A partnership that continues for an indefinite period until dissolved is called:** a) Fixed-term partnership

b) Partnership at will ✓

c) Unlimited partnership

d) Temporary partnership

9. **A minor can be admitted as a partner for the purpose of:**

a) Management

b) Profit-sharing ✓

c) Making contracts

d) Representing the firm

10. **Mutual agency in a partnership means:**

a) Every partner is an agent of the firm and other partners ✓
b) Only one partner is responsible for all transactions
c) Partners do not have the authority to act on behalf of others
d) Partnership is separate from its partners

11. **The liability of partners in a general partnership is:**

a) Limited
b) Unlimited ✓
c) Fixed
d) Equal

12. **A partnership formed for a specific venture or project is called:**

a) Limited partnership
b) Particular partnership ✓
c) Joint-stock partnership
d) Nominal partnership

13. **Which of the following rights does a partner NOT have?**

a) Right to participate in business
b) Right to share in profits
c) Right to transfer interest without consent ✓
d) Right to access books of accounts

14. **The property of the partnership is owned by:**
    a) Individual partners
    b) The firm as a collective entity ✓
    c) The government
    d) The managing partner
15. **A partnership is dissolved automatically if:**
    a) A partner resigns
    b) The firm is unregistered
    c) The business becomes illegal ✓
    d) There is a dispute among partners

Would you like any modifications or further explanations?

24

Lesson 24 covers the **Law of Partnership—Relations of Partners to Third Parties** . Below are **15 multiple-choice questions (MCQs)** with correct answers marked.

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MCQs on Law of Partnership (Relations of Partners to Third Parties)

1. **Which section of the Partnership Act states that a partner is jointly and severally liable for all acts of the firm?** a) Section 10
   b) Section 25 ✓
   c) Section 30
   d) Section 40

2. **A partner's implied authority does NOT include:**
   a) Buying goods on behalf of the firm
   b) Taking loans for business
   c) Transferring the firm's immovable property ✓
   d) Signing business contracts

3. **Holding out, in partnership law, refers to:**
   a) A partner leaving the firm
   b) A person representing themselves as a partner without actually being one ✓c) Selling shares of a firm
   d) Dissolving the partnership

4. **Which of the following acts can a partner NOT do under implied authority?**
   a) Settle disputes by arbitration ✓
   b) Buy raw materials
   c) Hire employees
   d) Receive payments on behalf of the firm

5. **A person who falsely represents themselves as a partner is liable for the firm's debts under the rule of:** a) Agency
   b) Holding out ✓
   c) Indemnity
   d) Guarantee

6. **A minor can be admitted as a partner only for the purpose of:**
   a) Managing the firm
   b) Sharing profits ✓
   c) Representing the firm in legal matters
   d) Taking loans

7. **When a partner acts beyond their authority and causes a loss, who is liable?** a) Only the partner
   b) The firm and the partner ✓
   c) Only the firm
   d) The third party

8. **A firm is bound by the actions of a partner if they are performed within:**
   a) The partner’s personal capacity
   b) The firm's usual course of business ✓
   c) The partner’s individual interests
   d) The government’s directions

9. **Which of the following does NOT automatically dissolve a partnership?** a) Death of a partner

b) Completion of a specific project

c) Transfer of a partner's interest ✓

d) Insolvency of a partner

10. **If a partner withdraws from a firm but fails to notify third parties, they may still be held liable for future transactions under:** a) The principle of estoppel ✓

b) The Partnership Act

c) Company law

d) The rule of limited liability

11. **Which of the following is a correct statement about a firm's liability for a partner's actions?**

a) The firm is never liable for a partner's wrongful act

b) The firm is liable only if all partners approve

c) The firm is liable for wrongful acts committed in the course of business ✓

d) The firm is liable for a partner's personal transactions

12. **A firm's assets can be used to pay for:**

a) Personal debts of partners

b) Firm's business liabilities ✓

c) Family expenses of a partner

d) Personal investments of a partner

13. **Which of the following is NOT considered a third party in a partnership contract?** a) Customers

b) Suppliers

c) A partner acting in the firm's name ✓

d) Creditors

14. **A partner who retires must:**

a) Inform only the firm's employees

b) Publish a notice of retirement ✓

c) Transfer all assets to other partners

d) Continue bearing liability for future business transactions

15. **A new partner in a firm is liable for:**

a) All past and future debts of the firm

b) Only future debts of the firm ✓

c) Debts of the firm from the date of retirement of another partner

d) None of the firm’s debts

Would you like any modifications or further explanations?

25

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Lesson 25 covers the **Companies Ordinance, 1984**, which governs the incorporation, management, and regulation of companies in Pakistan**15 multiple-choice questions (MCQs)** with correct answers marked.

MCQs on Companies Ordinance, 1984

1. **The Companies Ordinance, 1984, replaced which previous law?**
   a) Partnership Act, 1932
   b) Companies Act, 1913 ✓
   c) Contract Act, 1872
   d) Business Regulations Act, 1950
2. **Which of the following is NOT a function of company law?**
   a) Rules for incorporation
   b) Rules for the issuance of shares
   c) Regulations for government contracts ✓
   d) Protection of shareholders' rights
3. **A company is considered a legal entity separate from its owners. This principle is known as:**
   a) Limited Liability
   b) Perpetual Succession

c) Corporate Veil ✓

d) Common Seal

4. **The document that defines the objectives and structure of a company is called:** a) Articles of Association

b) Memorandum of Association ✓

c) Prospectus

d) Shareholder Agreement

5. **Which of the following is an essential document required for company incorporation?** a) Employee Contracts

b) Partnership Deed

c) Memorandum of Association ✓

d) Trade License

6. **Which section of the Companies Ordinance, 1984, defines the rights and obligations of directors?** a) Section 2

b) Section 10

c) Section 198 ✓

d) Section 250

7. **The liability of shareholders in a limited company is generally:** a) Unlimited

b) Equal for all

c) Limited to the amount of shares they own ✓

d) Based on company profits

8. **A company that is formed by a single individual is called a:**

a) Sole Proprietorship
b) Private Limited Company
c) Single Member Company (SMC) ✓
d) Cooperative Society

9. **Which of the following is an advantage of company incorporation?**
a) The company can be sued in its own name ✓
b) Owners are personally liable for debts
c) The company ceases to exist if an owner dies
d) All profits are tax-free

10. **The primary purpose of issuing a prospectus is to:**
a) Register a company
b) Provide legal protection to directors
c) Invite the public to invest in the company ✓
d) Declare company closure

11. **Who is responsible for overseeing the legal framework of companies in Pakistan?** a) Pakistan Stock Exchange
b) Ministry of Finance
c) Securities and Exchange Commission of Pakistan (SECP) ✓
d) Federal Board of Revenue

12. **Which of the following is NOT a type of company under the Companies Ordinance, 1984?**

a) Private Limited Company
b) Public Limited Company
c) Partnership Company ✓
d) Single Member Company

13. **Which of the following ensures transparency and accountability in corporate governance?**

a) Business Agreements
b) Code of Corporate Governance ✓
c) Tax Regulations
d) Labour Laws

14. **A company's legal identity allows it to:**

a) Own property in its own name ✓
b) Be represented only by shareholders
c) Avoid paying corporate taxes
d) Operate without a board of directors

15. **In case of company liquidation, who gets paid first?**

a) Shareholders
b) Employees
c) Secured Creditors ✓
d) Company Directors

Would you like any modifications or further explanations?

26

Lesson 26 covers the **Law Relating to Companies**, including the **formation of a company, certificate of incorporation, memorandum, and articles of association** . Below are **15 multiple-choice questions (MCQs)** with correct answers marked.

MCQs on Law Relating to Companies (Lesson 26)

1. **Which document serves as legal proof that a company has been incorporated?** a) Articles of Association
   b) Memorandum of Association
   c) Certificate of Incorporation ✓
   d) Trade License
2. **A private company can commence its business:**
   a) After receiving a certificate of incorporation ✓
   b) After appointing directors
   c) After issuing shares

d) Only after receiving a certificate of commencement

3. **Which section of the Companies Ordinance deals with the commencement of business by a public company?** a) Section 100

b) Section 146 ✓

c) Section 250

d) Section 300

4. **The Memorandum of Association primarily defines:**

a) The company's internal rules

b) The company's relationship with shareholders

c) The objectives and structure of the company ✓

d) The financial reports of the company

5. **Which of the following is NOT a required clause in the Memorandum of Association?** a) Name clause

b) Objectives clause

c) Articles clause ✓

d) Liability clause

6. **The authority responsible for issuing the Certificate of Incorporation is:**

a) Pakistan Stock Exchange

b) Ministry of Finance

c) Securities and Exchange Commission of Pakistan (SECP) ✓

d) Federal Board of Revenue

7. **Which document outlines the internal management and operational rules of a company?**
   a) Articles of Association ✓
   b) Memorandum of Association
   c) Certificate of Incorporation
   d) Business License
8. **Which of the following is NOT a function of the Articles of Association?**
   a) Governing the internal affairs of the company
   b) Defining the relationship between the company and its shareholders
   c) Stating the company's objectives ✓
   d) Regulating directors' powers
9. **Which section of the Companies Ordinance governs the registration of Articles of Association?** a) Section 18
   b) Section 26 ✓
   c) Section 35
   d) Section 50
10. **A company's liability is considered:**
    a) Unlimited for shareholders
    b) Limited to the amount unpaid on shares ✓
    c) Shared equally among directors
    d) Based on company assets only

11. **Which of the following is NOT an essential requirement for a Memorandum of Association?**

a) Must be signed by subscribers

b) Must be attested by witnesses

c) Must have a company seal ✓

d) Must be printed and numbered

12. **The internal rules and regulations of a company are contained in:**

a) Memorandum of Association

b) Articles of Association ✓

c) Certificate of Incorporation

d) Company Resolution

13. **What is required for an alteration of the Articles of Association?**

a) Board resolution

b) Ordinary resolution

c) Special resolution ✓

d) Government approval

14. **If a company fails to register its Articles of Association, it will be governed by:**

a) A default corporate structure

b) The regulations in Table A of the First Schedule ✓

c) A special resolution passed by shareholders

d) The Memorandum of Association only

15. **The process of company registration includes submitting:**

a) Only the Articles of Association

b) Only the Memorandum of Association

c) Both Memorandum and Articles of Association ✓

d) A business plan and financial reports

Would you like any modifications or further explanations?

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15 from 27 and 15 from 28

MCQs on Lesson 27: Law Relating to Companies

1. **What is the fundamental legal document of a company that outlines its objectives and structure?**

a) Articles of Association

b) Certificate of Incorporation

c) Memorandum of Association ✓

d) Business Registration Certificate

2. **Which document contains the internal rules and regulations of a company?** a) Share Certificate
   b) Articles of Association ✓
   c) Certificate of Incorporation
   d) Director's Agreement
3. **The document that invites the public to subscribe to shares or debentures is called:** a) Memorandum of Association
   b) Articles of Association
   c) Business Proposal
   d) Prospectus ✓
4. **Which of the following is NOT a type of share capital?**
   a) Authorized Capital
   b) Issued Share Capital
   c) Investment Capital ✓
   d) Called-up Capital
5. **Equity shares rank after preference shares in:**
   a) Dividend payments ✓
   b) Voting rights
   c) Share allotment
   d) Business registration
6. **Which type of shares are entitled to receive a fixed rate of dividend before equity shares?**

a) Ordinary Shares
b) Preference Shares ✓
c) Bonus Shares
d) Deferred Shares

7. **A company issues bonus shares to:**

a) Raise funds from the public
b) Reward shareholders ✓
c) Reduce liabilities
d) Increase debt

8. **What document serves as proof of share ownership in a company?**

a) Share Certificate ✓
b) Business License
c) Memorandum of Association
d) Directors' Resolution

9. **Which type of shares are issued to promoters or underwriters?**

a) Redeemable Preference Shares
b) Deferred Shares ✓
c) Bonus Shares
d) Cumulative Shares

10. **The main sources of a company's funds include:**
    a) Loan Capital and Share Capital ✓
    b) Donations and Crowdfunding
    c) Employee Contributions
    d) Government Grants

11. **Which of the following is NOT an essential part of a prospectus?** a) List of directors
    b) Financial records of the company
    c) Details of private contracts ✓
    d) Capital required by the company

12. **Preference shares have a priority over equity shares at the time of:**
    a) Business expansion
    b) Dividend declaration
    c) Company liquidation ✓
    d) Mergers and acquisitions

13. **The process of allotment of shares is considered a:**
    a) Business privilege
    b) Contract between the shareholder and the company ✓
    c) Legal obligation
    d) Non-binding agreement

14. **Which shares are entitled to arrears of dividends in future years if not paid?** a) Ordinary Shares
    b) Non-cumulative Preference Shares
    c) Cumulative Preference Shares ✓
    d) Bonus Shares
15. **Which authority governs company regulations in Pakistan?**
    a) Pakistan Stock Exchange
    b) Federal Board of Revenue
    c) Ministry of Finance
    d) Securities and Exchange Commission of Pakistan (SECP) ✓

MCQs on Lesson 28: Business Law and Regulations

1. **What is the primary function of business law?**
    a) Regulating stock market trends
    b) Ensuring legal structure for businesses ✓
    c) Controlling private investments
    d) Setting global economic policies
2. **Which law governs company incorporation in Pakistan?**

a) Labour Act

b) Partnership Act

c) Companies Ordinance, 1984 ✓

d) Taxation Act

3. **Which of the following is an essential component of corporate governance?** a) Shareholding only

b) Code of Corporate Governance ✓

c) Employee regulations

d) Individual business agreements

4. **A company's directors are responsible for:**

a) Monitoring business ethics ✓

b) Employee salaries

c) Customer complaints

d) Market competition

5. **Which of the following is a legally recognized business entity?**

a) Sole proprietorship

b) Partnership

c) Corporation

d) All of the above ✓

6. **The principle that a company is a separate legal entity was established in:**

a) Salomon v Salomon & Co Ltd ✓
b) Carlill v Carbolic Smoke Ball Co
c) Donoghue v Stevenson
d) Pak-Tel v SECP

7. **What is the purpose of the Securities and Exchange Commission of Pakistan (SECP)?** a) Regulating the insurance industry
b) Monitoring corporate affairs ✓
c) Providing business loans
d) Collecting government taxes

8. **Which type of company requires at least seven members for incorporation?**
a) Private Limited Company
b) Public Limited Company ✓
c) Sole Proprietorship
d) Single Member Company

9. **Which of the following documents outlines the rules and procedures for a company's operation?**
a) Business License
b) Shareholder Agreement
c) Articles of Association ✓
d) Employee Contracts

10. **A company is dissolved when:**

a) A director resigns

b) It fails to comply with legal regulations ✓

c) A shareholder sells shares

d) Its profits decrease

11. **Which document is necessary for a company to issue shares to the public?** a) Business License

b) Memorandum of Association

c) Articles of Association

d) Prospectus ✓

12. **Which authority is responsible for registering companies in Pakistan?** a) State Bank of Pakistan

b) SECP ✓

c) Federal Bureau of Revenue

d) Ministry of Commerce

13. **What is the minimum share capital required for a public limited company?** a) Rs. 100,000

b) Rs. 500,000 ✓

c) Rs. 1,000,000

d) No fixed amount

14. **Which type of business has unlimited liability for its owners?**

a) Corporation

b) Private Limited Company

c) Partnership ✓

d) Public Limited Company

15. **Corporate governance ensures:**

a) Higher taxation

b) Business transparency and accountability ✓

c) Employment benefits

d) Competitive business strategies

Would you like any modifications or additional explanations? ⍰

15 from 29 and 15 from 30

MCQs on Lesson 29: SECP & Corporate Governance

1. **What does SECP stand for?**

a) Securities and Economic Commission of Pakistan

b) Securities and Exchange Commission of Pakistan ✓

c) Securities and Equity Control Panel

d) Stock Exchange Control Panel

2. **The SECP regulates which of the following?**
   a) Securities Market
   b) Insurance Industry
   c) Corporate Sector
   d) All of the above ✓

3. **Which law governs the SECP in Pakistan?**
   a) Companies Act, 2017 ✓
   b) Contract Act, 1872
   c) Partnership Act, 1932
   d) Business Regulation Act

4. **Which of the following is NOT a function of SECP?**
   a) Regulating the stock market
   b) Issuing national budget ✓
   c) Monitoring corporate affairs
   d) Regulating insurance companies

5. **The SECP was established to replace which previous authority?**
   a) Corporate Affairs Division
   b) Ministry of Finance
   c) Corporate Law Authority ✓

d) Federal Board of Revenue

6. **Which of the following areas does SECP oversee?**

a) Non-Banking Financial Institutions (NBFIs)

b) Corporate Governance

c) Modaraba Companies

d) All of the above ✓

7. **The Code of Corporate Governance ensures:**

a) Protection of shareholders' rights ✓

b) Maximum profit for companies

c) Reduction of taxation

d) No legal accountability for directors

8. **Who appoints the Chairman of SECP?**

a) SECP Policy Board

b) The Prime Minister

c) The Federal Government ✓

d) The Senate

9. **Which of the following is a power of SECP?**

a) Making company laws

b) Regulating the business of stock exchanges ✓

c) Collecting corporate taxes

d) Providing bank loans

10. **Corporate governance is primarily concerned with:**

a) Financial reporting

b) Transparency and accountability ✓

c) Company taxation

d) Reducing business risks

11. **The SECP Policy Board advises on:**

a) Taxation laws

b) Financial market trends ✓

c) Criminal law enforcement

d) Environmental laws

12. **Which section of the SECP Act deals with the functions of the Commission?** a) Section 5

b) Section 20 ✓

c) Section 50

d) Section 100

13. **Who is responsible for approving the SECP's annual budget?**

a) The Parliament

b) SECP Commissioners

c) SECP Policy Board ✓

d) Ministry of Finance

14. **Which of the following is NOT an objective of corporate governance?**

a) Ensuring fair decision-making

b) Maximizing company secrecy ✓

c) Protecting investor interests

d) Maintaining ethical business practices

15. **The SECP has the power to regulate which type of financial institution?**

a) Commercial banks

b) Stock exchanges ✓

c) State-owned enterprises

d) International NGOs

MCQs on Lesson 30: Code of Corporate Governance

1. **What is the primary goal of the Code of Corporate Governance?**

a) Protecting company profits

b) Enhancing transparency and accountability ✓

c) Increasing government control over businesses

d) Reducing corporate taxation

2. **Corporate governance ensures that companies are managed in the best interests of:** a) Shareholders ✓

b) Government regulators

c) Employees

d) Competitors

3. **Which of the following is NOT a principle of corporate governance?** a) Fairness

b) Transparency

c) Insider trading ✓

d) Accountability

4. **What is the role of independent directors in corporate governance?**

a) They manage daily operations

b) They represent shareholders' interests ✓

c) They act as company auditors

d) They handle company taxation

5. **Which authority is responsible for enforcing corporate governance rules in Pakistan?** a) Federal Board of Revenue

b) Securities and Exchange Commission of Pakistan (SECP) ✓

c) Pakistan Stock Exchange

d) Ministry of Finance

6. **A company's financial statements must be audited by:**
   a) The SECP
   b) External auditors ✓
   c) The board of directors
   d) The company's CEO

7. **Which of the following is a key responsibility of the Board of Directors?**
   a) Approving financial reports ✓
   b) Issuing company shares
   c) Collecting corporate taxes
   d) Managing employee payroll

8. **Which of the following is an example of poor corporate governance?**
   a) Transparent financial reporting
   b) Insider trading ✓
   c) Independent board oversight
   d) Compliance with SECP regulations

9. **Corporate governance aims to reduce:**
   a) Financial accountability
   b) Business growth
   c) Corporate fraud ✓

d) Shareholder participation

10. **Which of the following is NOT an element of good corporate governance?**

a) Ethical decision-making

b) Financial transparency

c) Restricting shareholder rights ✓

d) Board independence

11. **Which law provides the legal framework for corporate governance in Pakistan?** a) Partnership Act, 1932

b) Companies Act, 2017 ✓

c) Business Regulation Act, 2000

d) Financial Accountability Act

12. **The Code of Corporate Governance is applicable to:**

a) Only private companies

b) All listed companies ✓

c) Sole proprietorships

d) Non-profit organizations

13. **Which of the following enhances corporate governance?**

a) Financial misreporting

b) Transparent policies ✓

c) Insider trading

d) Ignoring shareholder rights

14. **Which principle ensures that all company stakeholders receive equal treatment?** a) Fairness ✓

b) Efficiency

c) Profitability

d) Centralization

15. **Companies that fail to comply with corporate governance rules may face:** a) Higher tax rates

b) Legal penalties ✓

c) Reduced dividends

d) Automatic liquidation

Would you like any modifications or further explanations?

15 from 31 and 15 from 32

MCQs on Lesson 31: Code of Corporate Governance

1. **What is the purpose of the Code of Corporate Governance?**

a) Maximizing profits

b) Regulating stock market operations

c) Ensuring transparency and accountability ✓

d) Controlling business taxation

2. **The Board of Directors of a listed company should include:**

a) Only executive directors

b) A mix of executive and independent non-executive directors ✓

c) Only independent directors

d) Government-appointed officials

3. **Corporate governance primarily protects the interests of:**

a) Government regulators

b) Minority shareholders ✓

c) Senior executives

d) Employees

4. **Which of the following is NOT a key principle of corporate governance?** a) Fairness

b) Transparency

c) Insider trading ✓

d) Accountability

5. **The Code of Corporate Governance applies to:**

a) Only multinational corporations

b) Sole proprietorships

c) All listed companies ✓

d) Family-owned businesses

6. **Who is responsible for ensuring compliance with corporate governance rules?** a) The Federal Government
   b) The company's Board of Directors ✓
   c) SECP alone
   d) The CEO
7. **Which of the following is a key function of the Board of Directors?**
   a) Determining employee salaries
   b) Overseeing corporate strategy and risk management ✓
   c) Handling customer complaints
   d) Managing day-to-day operations
8. **Which organization enforces corporate governance in Pakistan?**
   a) Pakistan Stock Exchange
   b) Federal Board of Revenue
   c) Securities and Exchange Commission of Pakistan (SECP) ✓
   d) Ministry of Finance
9. **External auditors are responsible for:**
   a) Approving business plans
   b) Providing an independent assessment of a company's financial statements ✓
   c) Managing company assets

d) Regulating stock market investments

10. **What is the primary role of independent directors?**

a) Managing business operations

b) Representing minority shareholders and ensuring fair decision-making ✓

c) Controlling company expenses

d) Handling HR policies

11. **Which of the following is an example of poor corporate governance?**

a) Compliance with SECP regulations

b) Insider trading ✓

c) Transparent financial reporting

d) Board independence

12. **Which principle ensures that all shareholders receive fair treatment?**

a) Profit maximization

b) Fairness ✓

c) Centralization

d) Business efficiency

13. **Which document outlines the structure and regulations of a company's Board of Directors?**

a) Memorandum of Association

b) Articles of Association ✓

c) Business License

d) Financial Report

14. **What happens if a company fails to comply with corporate governance rules?**

a) It receives additional investment

b) It faces legal penalties ✓

c) Its stock price automatically rises

d) The CEO is replaced

15. **A company's financial records must be:**

a) Audited internally only

b) Audited by an independent external auditor ✓

c) Approved by the CEO alone

d) Kept confidential from shareholders

MCQs on Lesson 32: Negotiable Instruments

1. **Which of the following is NOT a negotiable instrument?**

a) Promissory note

b) Bill of exchange

c) Cheque

d) Letter of credit ✓

2. **Negotiable instruments must be:**

a) In writing ✓

b) Verbal agreements

c) Digital transactions

d) Issued by the government

3. **A cheque is a type of:**

a) Promissory note

b) Bill of exchange ✓

c) Loan agreement

d) Insurance policy

4. **Which section of the Negotiable Instruments Act defines a promissory note?** a) Section 4 ✓

b) Section 10

c) Section 20

d) Section 50

5. **A negotiable instrument must be:**

a) Transferable ✓

b) Kept confidential

c) Signed by both parties

d) Verified by a government agency

6. **Which of the following is an essential feature of a negotiable instrument?**

a) Must be in digital form

b) Must be easily transferable ✓

c) Must be registered with SECP

d) Must have a fixed interest rate

7. **A promissory note is issued by:**

a) The payee

b) The drawee

c) The drawer

d) The maker ✓

8. **A cheque must be drawn on:**

a) A specified banker ✓

b) A business partner

c) The government

d) A private lender

9. **Who is the drawer of a cheque?**

a) The person who signs and issues the cheque ✓

b) The person receiving the payment

c) The bank

d) The payee

10. **A bill of exchange is a:**

a) Unconditional order to pay a fixed amount ✓

b) Loan agreement

c) Verbal contract

d) Bank statement

11. **Which type of cheque is the safest for transactions?**

a) Bearer cheque

b) Order cheque

c) Crossed cheque ✓

d) Blank cheque

12. **Which section of the Negotiable Instruments Act defines a bill of exchange?** a) Section 3

b) Section 5 ✓

c) Section 8

d) Section 15

13. **A negotiable instrument can be transferred by:**

a) Verbal agreement

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b) Endorsement and delivery ✓

c) Government approval

d) Court order

14. **Which of the following is a feature of a promissory note?**

a) It must be signed by the payee

b) It must be unconditional ✓

c) It must be a bearer instrument

d) It must be payable to the government

15. **A dishonored cheque occurs when:**

a) The bank refuses to pay due to insufficient funds ✓

b) The cheque is written in red ink

c) The payee refuses to accept it

d) The drawer changes their mind

Would you like any modifications or further explanations? ⍰

15 from 33 and 5 from 34

MCQs on Lesson 33: Negotiable Instruments

1. **A promissory note must include:**
   a) A conditional promise
   b) A promise to pay a specific amount ✓
   c) A verbal agreement
   d) A bank guarantee

2. **Who is the maker in a promissory note?**
   a) The person who receives the money
   b) The person who promises to pay ✓
   c) The bank
   d) The payee

3. **Which of the following is NOT an essential feature of a bill of exchange?**
   a) Must be in writing
   b) Must be signed by the drawer
   c) Must have a revenue stamp
   d) Must be accepted by the bank ✓

4. **A cheque is a bill of exchange drawn on a:**
   a) Private lender
   b) Bank ✓

c) Government entity

d) Shareholder

5. **The person to whom a cheque is payable is called the:**

a) Drawer

b) Payee ✓

c) Drawee

d) Endorser

6. **A cheque that is payable to the person presenting it is called:**

a) Order cheque

b) Bearer cheque ✓

c) Crossed cheque

d) Post-dated cheque

7. **Which type of cheque is the safest for transactions?**

a) Bearer cheque

b) Order cheque

c) Crossed cheque ✓

d) Post-dated cheque

8. **A post-dated cheque is payable:**

a) On demand

b) On a future date mentioned on the cheque ✓

c) Only to the drawer

d) When the bank decides

9. **A negotiable instrument must be transferred by:**

a) A verbal agreement

b) A signed document

c) Endorsement and delivery ✓

d) Government approval

10. **A dishonored cheque occurs when:**

a) The cheque is lost

b) The drawer changes their mind

c) The bank refuses payment due to insufficient funds ✓

d) The payee does not want the money

11. **A cheque is valid for how many months from the date of issuance?**

a) 3 months ✓

b) 6 months

c) 9 months

d) 12 months

12. **Which of the following statements about negotiable instruments is TRUE?**

a) They must always be notarized

b) They can only be used for business transactions

c) They are transferable and can be endorsed ✓

d) They are always digital

13. **A bill of exchange is generally used for:**

a) Cash payments

b) International trade transactions ✓

c) Employee salaries

d) Stock investments

14. **Which section of the Negotiable Instruments Act defines a cheque?** a) Section 5

b) Section 6 ✓

c) Section 12

d) Section 20

15. **A cheque without a date is considered:**

a) Valid

b) Invalid ✓

c) A bearer cheque

d) A negotiable instrument

MCQs on Lesson 34: Endorsement & Negotiation of Negotiable Instruments

1. **Endorsement of a cheque means:**
   a) Writing instructions on the cheque ✓
   b) Destroying the cheque
   c) Cancelling the cheque
   d) Converting the cheque to cash
2. **Which of the following is NOT a type of endorsement?**
   a) Blank endorsement
   b) Full endorsement
   c) Digital endorsement ✓
   d) Restrictive endorsement
3. **A restrictive endorsement:**
   a) Transfers all rights of the cheque
   b) Prevents further negotiation ✓
   c) Allows only the bank to cash it
   d) Is invalid
4. **A cheque can be negotiated by:**

a) Verbal communication
b) Endorsement and delivery ✓
c) Online registration
d) Court approval

5. **An endorsement where the endorser excludes their liability is called:**
   a) Full endorsement
   b) Conditional endorsement
   c) Without recourse endorsement ✓
   d) Negotiable endorsement

Would you like any modifications or additional explanations? ?

15 from 34

MCQs on Lesson 34: Endorsement & Negotiation of Negotiable Instruments

1. **Endorsement of a cheque means:**
   a) Writing instructions on the cheque ✓
   b) Destroying the cheque

c) Cancelling the cheque

d) Converting the cheque to cash

2. **Which of the following is NOT a type of endorsement?**

a) Blank endorsement

b) Full endorsement

c) Digital endorsement ✓

d) Restrictive endorsement

3. **A restrictive endorsement:**

a) Transfers all rights of the cheque

b) Prevents further negotiation ✓

c) Allows only the bank to cash it

d) Is invalid

4. **A cheque can be negotiated by:**

a) Verbal communication

b) Endorsement and delivery ✓

c) Online registration

d) Court approval

5. **An endorsement where the endorser excludes their liability is called:** a) Full endorsement

b) Conditional endorsement

c) Without recourse endorsement ✓

d) Negotiable endorsement

6. **What does a blank endorsement consist of?**

a) Signature only ✓

b) Account number

c) Name of the bank

d) Payment instructions

7. **A special endorsement must include:**

a) Only the endorser's signature

b) The name of the person to whom it is payable ✓

c) The bank's approval

d) The cheque amount

8. **A partial endorsement:**

a) Transfers the entire amount

b) Transfers only part of the amount ✓

c) Is treated as a blank endorsement

d) Is not legally valid

9. **If a cheque is endorsed "Pay Yasir only," it is an example of:**

a) Blank endorsement

b) Special endorsement

c) Restrictive endorsement ✓

d) Conditional endorsement

10. **A cheque that is crossed means:**

a) It cannot be cashed over the counter ✓

b) It can be presented at any bank

c) It is invalid

d) It must be signed again by the drawer

11. **A "without recourse" endorsement means:**

a) The endorser guarantees payment

b) The endorser has no liability if the cheque is dishonored ✓

c) The cheque is valid for 12 months

d) The cheque must be signed by the drawee

12. **An endorsement that transfers ownership of a negotiable instrument is called:** a) Restrictive endorsement

b) Negotiable endorsement ✓

c) Void endorsement

d) Invalid endorsement

13. **An endorsement can be done on:**

a) The back of the cheque ✓

b) The bank's official letter

c) An oral agreement

d) A digital contract

14. **If a minor endorses a negotiable instrument, the endorsement is:** a) Invalid

b) Valid but not enforceable against the minor ✓

c) Legally binding

d) Considered fraud

15. **A cheque that cannot be transferred further is called a:**

a) Bearer cheque

b) Order cheque

c) Non-negotiable cheque ✓

d) Open cheque

Would you like any modifications or further explanations?

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Transfer of Property MCQs



Handouts MGT611 - Business and L... PDF

15 mcqs from lesson 35 and answers marked

Here are 15 multiple-choice questions (MCQs) from Lesson 35 (Transfer of Property) along with their correct answers marked:

Lesson 35: Transfer of Property - MCQs

1. **What law governs the transfer of property in Pakistan?**
   a) Contract Act, 1872
   b) Companies Ordinance, 1984
   c) Transfer of Property Act, 1882 ✓
   d) Labour Laws

2. **Which of the following is considered a "living person" under the Transfer of Property Act?**
   a) Only natural human beings
   b) Only registered firms
   c) Juristic persons, including companies and associations ✓
   d) None of the above

3. **Which of the following is NOT considered property under the Transfer of Property Act?**
   a) Copyright
   b) Right to call up shares
   c) Uncalled share capital of a company ✓
   d) Actionable claims

4. **Which section of the Transfer of Property Act defines what can be transferred?** a) Section 5

b) Section 6 ✓

c) Section 10

d) Section 12

5. **Which of the following properties cannot be transferred?**

a) Rights related to physical objects

b) Public offices and their salaries ✓

c) Copyrights

d) Movable properties

6. **A mortgage of immovable property is a type of:**

a) Exchange

b) Sale

c) Gift

d) Security interest ✓

7. **Which type of transfer involves the exchange of one property for another?** a) Mortgage

b) Sale

c) Gift

d) Exchange ✓

8. **Which of the following does NOT require monetary consideration?** a) Sale

b) Exchange

c) Gift ✓

d) Mortgage

9. **A transfer of property in favor of an unborn person is:** a) Valid

b) Invalid ✓

c) Conditional

d) Partially valid

10. **Which of the following is an essential requirement for a valid transfer of property?**

a) Transferor must be competent ✓

b) Property must be intangible

c) Transfer must be oral only

d) None of the above

11. **Which of the following statements about sales of immovable property is true?** a) It can be done orally in all cases

b) It requires registration if the value is above a certain amount ✓

c) It cannot be done through an agreement

d) It does not require consideration

12. **Which type of transfer is irrevocable once made?**

a) Sale ✓

b) Mortgage

c) Lease

d) Exchange

13. **What is meant by "actionable claims"?**

a) Rights to future maintenance

b) Claims that can be enforced in court ✓

c) Public offices

d) Unclaimed dividends

14. **A "family arrangement" under the Transfer of Property Act is:**

a) A valid transfer of property

b) Not considered a transfer ✓

c) A conditional sale

d) An easement

15. **Which of the following conditions makes a transfer void?**

a) If it is against the law ✓

b) If it is between two companies

c) If it involves a public office

d) If it is an agreement for sale

These questions cover key aspects of Lesson 35 from the **Business and Labour Law (MGT611)** handout. Let me know if you need modifications or additional questions!

36

Here are 15 multiple-choice questions (MCQs) from **Lesson 36: Law Relating to Sale of Goods** along with the correct answers marked:

Lesson 36: Law Relating to Sale of Goods - MCQs

1. **Which law governs the sale of goods in Pakistan?**
   a) Contract Act, 1872
   b) Sale of Goods Act, 1930 ✓
   c) Companies Ordinance, 1984
   d) Negotiable Instruments Act, 1881

2. **The Sale of Goods Act applies to which type of property?**
   a) Immovable property
   b) Movable property ✓
   c) Both movable and immovable property
   d) Intellectual property

3. **Which of the following is NOT considered "goods" under the Sale of Goods Act?** a) Stocks and shares
   b) Actionable claims ✓
   c) Growing crops
   d) Grass

4. **What is a "contract of sale"?**
   a) An agreement where the seller agrees to transfer ownership of goods to the buyer ✓
   b) An agreement to lease goods
   c) A contract for service
   d) A contract for providing a loan

5. **Which of the following is an essential element of a contract of sale?**

a) There must be two parties ✓
b) The contract must be in writing
c) Goods must be delivered within a week
d) It must be a sale of immovable property

6. **What is "future goods"?**
a) Goods that exist but are not yet owned
b) Goods that will be manufactured or acquired in the future ✓
c) Goods that are currently available
d) Goods that are intangible

7. **What is the distinction between a "sale" and an "agreement to sell"?**
a) Sale transfers ownership immediately, while agreement to sell transfers it in thefuture ✓
b) Agreement to sell is a completed transaction
c) Sale occurs only with immovable property
d) There is no difference

8. **Which section of the Sale of Goods Act defines "goods"?**
a) Section 2(7) ✓
b) Section 4(1)
c) Section 6(1)
d) Section 31

9. **Which type of goods are owned and possessed by the seller at the time of the contract?**
a) Future goods
b) Contingent goods
c) Existing goods ✓
d) Actionable claims

10. **Which of the following is NOT an essential of a contract of sale?**
a) Transfer of ownership

b) Movable property

c) Consideration

d) Delivery of goods ✓

11. **In an agreement to sell, when does the ownership of goods transfer to the buyer?** a) At the time of agreement

b) When the price is paid

c) At a future date or upon fulfillment of a condition ✓

d) Never

12. **Which section of the Sale of Goods Act defines "sale"?**

a) Section 2(7)

b) Section 4(3) ✓

c) Section 6(1)

d) Section 31

13. **What happens if goods are destroyed before ownership is transferred in an "agreement to sell"?**

a) The seller bears the loss ✓

b) The buyer bears the loss

c) Both share the loss

d) The government compensates

14. **Which of the following statements is true about a "sale"?**

a) Ownership transfers immediately ✓

b) Ownership transfers upon payment

c) Ownership never transfers

d) It requires registration

15. **Which of the following is an example of "contingent goods"?**

a) A car already owned by the seller

b) A property that will be delivered in five years

c) A shipment of goods subject to arrival at the port ✓

d) A set of manufactured shoes

These questions are based on **Lesson 36: Law Relating to Sale of Goods** from **MGT611 Business and Labour Law**. Let me know if you need more!

37

Here are 15 multiple-choice questions (MCQs) from **Lesson 37: Law of Trust** along with the correct answers marked:

Lesson 37: Law of Trust - MCQs

1. **Which law governs trusts in Pakistan?**
   a) The Companies Ordinance, 1984
   b) The Contract Act, 1872
   c) The Trusts Act, 1882 ✓
   d) The Sale of Goods Act, 1930
2. **What is a "trust" according to the Trusts Act, 1882?**
   a) A legal contract between two companies
   b) An obligation annexed to the ownership of property ✓
   c) A special type of company
   d) A form of partnership
3. **Who is the person that creates a trust?**
   a) Trustee
   b) Beneficiary
   c) Author of the trust ✓
   d) Agent
4. **What is the role of a trustee?**
   a) The person who accepts the confidence of managing the trust ✓
   b) The one who benefits from the trust
   c) The person who owns the trust property

d) The one who regulates trusts

5. **Which of the following is NOT an essential element of a trust?**

a) Author of the trust

b) Trust property

c) Beneficiary

d) Partnership agreement ✓

6. **What is the "beneficial interest" in a trust?**

a) The share of the trustee in trust property

b) The right of the beneficiary against the trustee ✓

c) A financial gain by the author of the trust

d) The profit made by the trust

7. **Which document formally declares the creation of a trust?**

a) Contract of Sale

b) Charter Party Agreement

c) Instrument of Trust ✓

d) Bill of Exchange

8. **A trust may be created for any lawful purpose except when:**

a) It is fraudulent

b) It is forbidden by law

c) It is against public policy

d) All of the above ✓

9. **What happens when the purpose of a trust becomes unlawful?**

a) The trust is revoked ✓

b) The trust continues to exist

c) The trust is modified

d) The trustee becomes the owner

10. **Which of the following types of property can be part of a trust?**

a) Only movable property

b) Only immovable property

c) Both movable and immovable property ✓

d) Only cash assets

11. **For a trust related to immovable property to be valid, it must be:**

a) Registered ✓

b) Declared orally

c) Created by a government authority

d) Declared in a verbal agreement

12. **Who can be a beneficiary of a trust?**

a) Only individuals

b) Only companies

c) Any person capable of holding property ✓

d) Only government organizations

13. **What is a breach of trust?**

a) The illegal sale of trust property

b) The trustee failing in his duties ✓

c) The act of transferring a trust to another person

d) The trustee earning profit from the trust

14. **What is a trustee NOT allowed to do?**

a) Delegate duties to a stranger ✓

b) Hold trust property

c) Manage the trust property

d) Invest trust funds

15. **What is the effect of a trust being revoked?**

a) The trustee becomes the owner

b) The trust property is returned to the author or beneficiaries ✓

c) The trust continues for 10 more years

d) The government takes control of the trust

These questions are based on **Lesson 37: Law of Trust** from **MGT611 - Business and Labour Law**. Let me know if you need more details or explanations!

38

Here are 15 multiple-choice questions (MCQs) from **Lesson 38: Law of Insurance** along with the correct answers marked:

Lesson 38: Law of Insurance - MCQs

1. **Which law governs insurance in Pakistan?**
   a) Insurance Act, 1938
   b) Insurance Ordinance, 2000 ✓
   c) Contract Act, 1872
   d) Companies Ordinance, 1984
2. **Which authority regulates the insurance industry in Pakistan?**
   a) State Bank of Pakistan
   b) Ministry of Finance
   c) Securities and Exchange Commission of Pakistan (SECP) ✓
   d) Competition Commission of Pakistan
3. **Insurance is a method of managing what?**
   a) Profits
   b) Risks ✓
   c) Investments
   d) Interest rates
4. **Which of the following is NOT an essential element of a valid insurance contract?** a) Offer and acceptance
   b) Lawful purpose
   c) Guaranteed profit ✓
   d) Payment of premium
5. **What does the term "premium" refer to in an insurance contract?**

a) A penalty for policy violation

b) The amount paid by the insured to the insurer ✓

c) A refund given to policyholders

d) A fixed deposit in a bank

6. **What is the term for the person to whom an insurance policy is issued?** a) Policyholder ✓

b) Insurer

c) Broker

d) Reinsurer

7. **Which type of insurance covers human life?**

a) Marine insurance

b) Fire insurance

c) Life insurance ✓

d) Property insurance

8. **Which type of insurance protects against financial losses due to fire?** a) Life insurance

b) Fire insurance ✓

c) Marine insurance

d) Health insurance

9. **What is meant by "reinsurance"?**

a) A contract between two policyholders

b) A contract where an insurer transfers risk to another insurer ✓

c) A new insurance policy

d) A guarantee of profits

10. **The principle of "utmost good faith" in insurance means:**

a) The insurer must pay claims promptly

b) Both parties must disclose all relevant information ✓

c) The policyholder must pay premiums in advance

d) The policy cannot be changed once issued

11. **What is "Takaful"?**
    a) An investment fund
    b) A type of mutual insurance based on Islamic principles ✓
    c) A government-sponsored insurance scheme
    d) A loan protection plan

12. **Which of the following is NOT a type of general insurance?**
    a) Fire insurance
    b) Marine insurance
    c) Life insurance ✓
    d) Health insurance

13. **Which principle ensures that an insured person does not profit from a claim?** a) Utmost good faith
    b) Indemnity ✓
    c) Contribution
    d) Subrogation

14. **Which insurance policy provides coverage against losses during transportation of goods?**
    a) Property insurance
    b) Marine insurance ✓
    c) Health insurance
    d) Fire insurance

15. **In an insurance contract, the insured event must be:**
    a) Certain to occur
    b) Uncertain but possible ✓
    c) A guaranteed loss
    d) A profitable event

These questions are based on **Lesson 38: Law of Insurance** from **MGT611 - Business and Labour Law**. Let me know if you need more!

39

Here are 15 multiple-choice questions (MCQs) from **Lesson 39: Industrial Relations Ordinance** along with the correct answers marked:

Lesson 39: Industrial Relations Ordinance - MCQs

1. **Which law governs industrial relations in Pakistan?**
   a) Industrial Relations Ordinance, 2002 ✓
   b) Companies Ordinance, 1984
   c) Contract Act, 1872
   d) Labour Protection Act, 1991

2. **What is the primary purpose of the Industrial Relations Ordinance?**
   a) Regulating trade unions and employer-employee relations ✓
   b) Managing corporate taxation
   c) Defining bankruptcy procedures
   d) Governing insurance policies

3. **Which authority oversees industrial relations in Pakistan?**
   a) Ministry of Commerce
   b) Labour Courts ✓
   c) Securities and Exchange Commission of Pakistan
   d) Federal Investigation Agency

4. **Which category of employees is NOT covered under the Industrial Relations Ordinance?**
   a) Workers in private companies
   b) Employees of state-owned enterprises
   c) Members of the Defence Services ✓
   d) Factory workers

5. **What is the definition of "trade union" under the Industrial Relations Ordinance?**
   a) A group of government employees
   b) An association of employers
   c) A group of workers formed to protect their rights ✓
   d) A body that regulates businesses
6. **What is a "collective bargaining agent"?**
   a) A government-appointed worker representative
   b) A trade union recognized for negotiating on behalf of workers ✓c) A private arbitrator
   d) A company-appointed supervisor
7. **Which of the following is NOT a function of the National Industrial Relations Commission (NIRC)?**
   a) Resolving industrial disputes
   b) Regulating trade union activities
   c) Granting import licenses ✓
   d) Ensuring fair labour practices
8. **Which term refers to the temporary suspension of work by employees as a protest?**
   a) Lockout
   b) Termination
   c) Strike ✓
   d) Boycott
9. **What is an illegal strike?**
   a) A strike lasting more than 24 hours
   b) A strike declared without fulfilling legal conditions ✓
   c) A strike in which employees demand higher wages
   d) A strike approved by the government
10. **Which section of the Industrial Relations Ordinance defines "lockout"?** a) Section 20
    b) Section 22

c) Section 25 ✓

d) Section 30

11. **What happens if a dispute is not resolved through conciliation?**

a) The matter is referred to a Labour Court ✓

b) The workers go on strike immediately

c) The employer shuts down operations

d) The trade union is dissolved

12. **Which of the following is NOT considered an industrial dispute?**

a) Disagreements over wages

b) Disputes regarding workplace safety

c) Arguments over government taxation ✓

d) Conflicts about working conditions

13. **What is the role of a "Board of Conciliators" in industrial disputes?**

a) To represent the government in disputes

b) To provide a forum for negotiation and settlement ✓

c) To enforce tax laws on companies

d) To audit corporate financial records

14. **What does "illegal lockout" mean?**

a) Employers forcing workers to work overtime

b) The closing of a workplace without following legal procedures ✓

c) Employees refusing to work

d) A government shutdown of a factory

15. **Which court has jurisdiction over cases under the Industrial Relations Ordinance?** a) Civil Court

b) High Court

c) Labour Court ✓

d) Magistrate's Court

These questions are based on **Lesson 39: Industrial Relations Ordinance** from **MGT611 Business and Labour Law**. Let me know if you need further clarifications or additional questions!

40

Here are 15 multiple-choice questions (MCQs) from **Lesson 40: Industrial Relations Ordinance** along with the correct answers marked:

Lesson 40: Industrial Relations Ordinance - MCQs

1. **What is the primary purpose of the Industrial Relations Ordinance?**
   a) To regulate trade union activities ✓
   b) To set corporate tax rates
   c) To define bankruptcy laws
   d) To govern insurance companies
2. **Which organization is responsible for overseeing industrial relations in Pakistan?**
   a) Securities and Exchange Commission of Pakistan
   b) Labour Courts ✓
   c) State Bank of Pakistan
   d) Ministry of Commerce
3. **What is the definition of "industrial dispute" under the Industrial Relations Ordinance?**
   a) A disagreement between two companies
   b) A conflict between employers and employees ✓
   c) A commercial dispute between suppliers
   d) A legal case in civil court
4. **Which of the following is NOT covered under the Industrial Relations Ordinance?** a) Public sector employees
   b) Private sector employees
   c) Defence services personnel ✓

d) Factory workers

5. **Which body is responsible for resolving disputes between employers and employees?** a) The National Assembly
   b) The High Court
   c) The National Industrial Relations Commission (NIRC) ✓
   d) The Securities Commission

6. **What is a "trade union"?**
   a) An association of workers formed to protect their rights ✓
   b) A government agency
   c) A business federation
   d) A corporate entity

7. **What is a "collective bargaining agent" (CBA)?**
   a) A government labor inspector
   b) A trade union recognized to negotiate on behalf of workers ✓
   c) A private consultant
   d) A company representative

8. **Which of the following methods is used to settle industrial disputes?** a) Arbitration ✓
   b) Stock market regulation
   c) Investment in bonds
   d) Tax adjustments

9. **What is the term for a temporary stoppage of work by employees to protest against employers?** a) Lockout
   b) Termination
   c) Strike ✓
   d) Boycott

10. **What is an illegal strike?**
    a) A strike without following legal conditions ✓
    b) A protest by factory workers

c) A walkout lasting more than a day

d) A strike in a public place

11. **What is meant by "lockout" in industrial relations?**

a) Employers preventing workers from entering the workplace ✓

b) Employees quitting their jobs

c) A court ruling in favor of a company

d) A penalty imposed on trade unions

12. **How is an industrial dispute resolved if negotiations fail?**

a) By referral to a Labour Court ✓

b) By company management

c) By the Prime Minister

d) By an executive order

13. **What is the role of a "conciliation officer" in labor disputes?**

a) To mediate between workers and employers ✓

b) To impose penalties on companies

c) To set new wages for employees

d) To approve trade union registration

14. **Which section of the Industrial Relations Ordinance deals with "arbitration"?** a) Section 10

b) Section 20

c) Section 30 ✓

d) Section 40

15. **Which court has jurisdiction over industrial disputes?**

a) Civil Court

b) Labour Court ✓

c) Supreme Court

d) Commercial Court

VU NEXUS

These questions are based on **Lesson 40: Industrial Relations Ordinance** from **MGT611 - Business and Labour Law**. Let me know if you need additional details or explanations!

15 from 41 nd 15 from 42

Here are 15 multiple-choice questions (MCQs) from **Lesson 41: Law of Partnership** and **Lesson 42: Dissolution of a Firm**, along with the correct answers marked.

Lesson 41: Law of Partnership - MCQs

1. **Which law governs partnerships in Pakistan?**
   a) Companies Ordinance, 1984
   b) Contract Act, 1872
   c) Partnership Act, 1932 ✓
   d) Securities Act, 2015

2. **A partnership is formed when:**
   a) Two or more persons agree to share profits of a business ✓
   b) One person starts a business
   c) A company is registered with SECP
   d) A firm is listed on the stock exchange

3. **Which of the following is NOT an essential feature of a partnership?** a) Agreement
   b) Sharing of profits
   c) Business carried on by all or any of the partners
   d) Limited liability ✓

4. **What is the maximum number of partners allowed in a partnership?** a) 10
   b) 20 ✓
   c) 50
   d) Unlimited

5. **Which section of the Partnership Act deals with the liability of incoming partners?** a) Section 25
   b) Section 30 ✓
   c) Section 40
   d) Section 50

6. **Which section states that no new partner can be introduced without the consent of existing partners?** a) Section 28
   b) Section 31 ✓
   c) Section 35
   d) Section 40

7. **Which type of partnership exists for a specific purpose or duration?**
   a) General partnership
   b) Particular partnership ✓
   c) Limited partnership
   d) Unlimited partnership

8. **Which of the following is a duty of partners?**
   a) Avoid competing with the firm ✓
   b) Keep trade secrets confidential only if written in the agreement
   c) Accept liability for personal debts
   d) Work independently of the firm

9. **What is the liability of a retiring partner for debts incurred before retirement?**
   a) Fully liable unless released by creditors ✓
   b) Not liable
   c) Liable only for one year
   d) Automatically discharged

10. **Which section deals with the rights of transferees of a partner's share?** a) Section 31
    b) Section 32
    c) Section 42

d) Section 29 ✓

11. **A minor can be admitted to a partnership for:**

a) Full membership

b) Profit-sharing only ✓

c) Unlimited liability

d) Decision-making

12. **Which of the following results in automatic dissolution of a firm?**

a) Death of a partner ✓

b) Retirement of a partner

c) Change in business location

d) Change in partnership agreement

13. **What is the effect of non-registration of a partnership firm?** a) The firm is illegal

b) The firm cannot file a lawsuit to enforce its rights ✓

c) The firm cannot open a bank account

d) The firm must register within one year

14. **Which of the following is NOT an implied authority of a partner?**

a) Buying and selling goods for the firm

b) Borrowing money for the business

c) Transferring firm's immovable property without consent ✓

d) Hiring employees for the firm

15. **Which type of partnership has at least one partner with unlimited liability and others with limited liability?**

a) General partnership

b) Particular partnership

c) Limited liability partnership ✓

d) Joint venture

Lesson 42: Dissolution of a Firm - MCQs

1. **Which law governs the dissolution of a partnership firm in Pakistan?**
   a) Companies Act, 2017
   b) Partnership Act, 1932 ✓
   c) Contract Act, 1872
   d) Insolvency Act, 2020

2. **Which section of the Partnership Act defines the dissolution of a firm?** a) Section 30
   b) Section 35
   c) Section 39 ✓
   d) Section 50

3. **Which of the following is NOT a method of dissolution of a firm?**
   a) By mutual agreement
   b) By the death of a partner
   c) By voluntary registration ✓
   d) By a court order

4. **Compulsory dissolution of a firm occurs when:**
   a) The partnership agreement expires
   b) The business becomes unlawful ✓
   c) A partner retires
   d) A partner disagrees with the business decisions

5. **Which section of the Act deals with dissolution due to contingencies like death, expiry of term, or insolvency of a partner?** a) Section 30
   b) Section 35
   c) Section 42 ✓
   d) Section 50

6. **Which section provides for dissolution by notice in a partnership at will?** a) Section 40

b) Section 41

c) Section 43 ✓

d) Section 45

7. **Which section allows the court to dissolve a firm on specific grounds?** a) Section 40

b) Section 41

c) Section 44 ✓

d) Section 50

8. **Which of the following is NOT a ground for dissolution by court?**

a) Insanity of a partner

b) Continuous losses in business

c) Breach of partnership agreement

d) Change of business name ✓

9. **If a partner is found guilty of misconduct affecting business, the firm can be dissolved by:**

a) Agreement between partners

b) Government notification

c) Court order ✓

d) Board resolution

10. **Which section states that a continuing guarantee is revoked by dissolution of the firm?**

a) Section 30

b) Section 38 ✓

c) Section 42

d) Section 45

11. **On dissolution, the firm's debts are paid in which order?**

a) Creditors, then partners' loans, then capital contribution ✓

b) Partners' loans, then creditors, then capital

c) Capital contribution first

d) Partners' personal expenses first

12. **Who is responsible for completing unfinished business after dissolution?**
    a) Court-appointed administrator
    b) Existing partners ✓
    c) SECP
    d) The government

13. **After dissolution, how are surplus assets distributed?**
    a) Returned to partners according to profit-sharing ratio ✓
    b) Given to creditors only
    c) Deposited in government treasury
    d) Distributed equally among employees

14. **What happens if a partnership firm is dissolved due to the insolvency of all partners?** a) Creditors cannot recover debts
    b) Firm is dissolved automatically ✓
    c) The firm continues under new ownership
    d) A new partnership must be formed

15. **If a firm continues business after the expiration of its fixed term, it is considered:** a) A new firm
    b) A dissolved firm
    c) A partnership at will ✓
    d) A limited liability company

These questions are based on **Lessons 41 & 42: Law of Partnership & Dissolution of a Firm** from **MGT611 - Business and Labour Law**. Let me know if you need more details!

15 from 43 and 15 from 44

Here are 15 multiple-choice questions (MCQs) from **Lesson 43: Industrial Relations Ordinance** and **Lesson 44: National Industrial Relations Commission**, along with the correct answers marked.

Lesson 43: Industrial Relations Ordinance - MCQs

1. **What is the main purpose of the Industrial Relations Ordinance?**
   a) To regulate trade unions and employer-employee relations ✓
   b) To impose taxes on industries
   c) To govern corporate financial transactions
   d) To regulate consumer rights

2. **Which body is responsible for adjudicating industrial disputes at the provincial level?** a) High Court
   b) National Industrial Relations Commission
   c) Labour Court ✓
   d) Supreme Court

3. **Which section of the Industrial Relations Ordinance deals with the powers of Labour Courts?**
   a) Section 12
   b) Section 24
   c) Section 46 ✓
   d) Section 58

4. **Who has the authority to appoint a presiding officer for a Labour Court?** a) President of Pakistan
   b) Chief Justice of Pakistan
   c) Provincial Government ✓
   d) Trade Unions

5. **Which of the following is NOT a function of Labour Courts?**
   a) Adjudicating industrial disputes
   b) Imposing taxes on trade unions ✓
   c) Enforcing labour laws
   d) Resolving worker grievances

6. **Under which section can a worker bring a grievance against an employer?** a) Section 22
   b) Section 33 ✓
   c) Section 40
   d) Section 50

7. **What is the maximum fine that can be imposed by a Labour Court for noncompliance?** a) Rs. 5,000
   b) Rs. 10,000 ✓
   c) Rs. 50,000
   d) Rs. 100,000

8. **Which body can hear appeals against decisions made by Labour Courts?**
   a) Provincial Government
   b) High Court ✓
   c) National Assembly
   d) Supreme Court

9. **What happens if an employer fails to comply with a Labour Court decision within the specified period?**
   a) The employer is issued a warning
   b) The employer must compensate employees immediately
   c) The employer is fined up to Rs. 10,000 ✓
   d) The case is dismissed

10. **Which authority publishes Labour Court decisions in the official Gazette?**
    a) The Federal Government

b) The High Court

c) The Provincial Government ✓

d) The Labour Union

11. **Which of the following is NOT considered an industrial dispute?**

a) Disputes regarding wages

b) Workplace safety complaints

c) Tax evasion cases ✓

d) Working condition disputes

12. **Which organization is responsible for implementing Labour Court decisions?** a) The employer

b) The Labour Union

c) The High Court

d) The Provincial Government ✓

13. **How long does a worker have to appeal a decision from a Labour Court?** a) 15 days

b) 30 days ✓

c) 60 days

d) 90 days

14. **Which of the following is a ground for an employer to dismiss a worker?**

a) Filing a case in Labour Court

b) Continuous absence without valid reason ✓

c) Requesting salary increments

d) Joining a trade union

15. **Who can initiate a case in a Labour Court?**

a) Only trade unions

b) Any aggrieved worker ✓

c) The employer only

d) The Chief Justice

Lesson 44: National Industrial Relations Commission -
MCQs

1. **Which law establishes the National Industrial Relations Commission (NIRC)?**
   a) Companies Ordinance, 1984
   b) Industrial Relations Ordinance ✓
   c) Labour Act, 2001
   d) Employment Protection Act

2. **What is the primary function of NIRC?**
   a) Registering industrial trade unions ✓
   b) Imposing industrial taxes
   c) Monitoring business contracts
   d) Regulating consumer rights

3. **Who appoints the Chairman of NIRC?**
   a) President of Pakistan
   b) Prime Minister
   c) Federal Government ✓
   d) Supreme Court

4. **Which of the following is NOT a function of NIRC?**
   a) Resolving industrial disputes
   b) Monitoring corporate stock exchange ✓
   c) Trying offences under labour laws
   d) Regulating trade union activities

5. **Which of the following can NIRC adjudicate?**
   a) Individual worker complaints
   b) Industry-wide trade union disputes ✓
   c) Corporate tax cases

d) Consumer complaints

6. **What is one of the main powers of NIRC?**

a) To issue national economic policies

b) To impose trade tariffs

c) To determine collective bargaining agents ✓

d) To manage corporate mergers

7. **Who has jurisdiction over unfair labour practices?**

a) The Provincial Government

b) The High Court

c) NIRC ✓

d) The National Assembly

8. **What can NIRC do in cases of unfair labour practices?**

a) Dismiss the complaint

b) Order reinstatement of workers ✓

c) Increase industrial wages

d) Conduct audits of corporations

9. **How can an employer be punished for unfair labour practices?**

a) Fine or imprisonment ✓

b) Immediate termination of employment

c) Government takeover of the business

d) Corporate stock penalties

10. **Which section of the Industrial Relations Ordinance deals with the composition of NIRC?**

a) Section 12

b) Section 25

c) Section 53 ✓

d) Section 60

11. **What is the role of NIRC in trade union disputes?**

a) To dissolve trade unions
b) To facilitate fair negotiations ✓
c) To set minimum wages
d) To ban collective bargaining

12. **Which cases can be referred from a Labour Court to NIRC?**
a) Business mergers
b) Trade disputes affecting multiple provinces ✓
c) Employee retirement cases
d) Commercial trade issues

13. **Which organization has the final authority over NIRC appeals?**
a) Federal Government
b) Labour Court
c) High Court ✓
d) National Assembly

14. **What is the tenure of NIRC members?**
a) 2 years
b) 3 years ✓
c) 5 years
d) Lifetime appointment

15. **Who can appeal against an NIRC decision?**
a) The employer only
b) The worker only
c) Any aggrieved party ✓
d) The National Assembly

VU NEXUS

These questions are based on **Lessons 43 & 44: Industrial Relations Ordinance & National Industrial Relations Commission** from **MGT611 - Business and Labour Law**. Let me know if you need further clarifications!

15 from 45

Here are 15 multiple-choice questions (MCQs) from **Lesson 45: Labour Laws**, along with the correct answers marked.

Lesson 45: Labour Laws - MCQs

1. **Which law primarily governs labour rights in Pakistan?**
   a) Labour Laws Act, 1960
   b) Factories Act, 1934 ✓
   c) Industrial Relations Ordinance, 2002
   d) Contract Act, 1872
2. **Which authority is responsible for enforcing labour laws in Pakistan?** a) National Assembly
   b) Ministry of Commerce
   c) Ministry of Labour and Manpower ✓
   d) Securities and Exchange Commission
3. **What is considered an unfair labour practice by an employer?**
   a) Providing training to workers
   b) Discriminating against a worker for joining a trade union ✓
   c) Giving annual bonuses
   d) Promoting workers
4. **Which of the following is NOT considered an unfair labour practice by employees?**
   a) Going on a legally declared strike

b) Intimidating other workers to join a union ✓

c) Persuading workers to leave a union

d) Carrying arms within the workplace

5. **Which law deals with the social security of employees in Pakistan?**

a) Employees' Social Security Ordinance, 1965 ✓

b) Industrial Relations Ordinance, 2002

c) Companies Act, 2017

d) Factories Act, 1934

6. **Which of the following is a right of employers under labour laws?**

a) Right to dismiss employees without any reason

b) Right to form a trade union

c) Right to manage and control business operations ✓

d) Right to terminate workers without legal procedures

7. **Which of the following is a duty of an employer under labour laws?**

a) Ensure workplace safety ✓

b) Avoid paying taxes

c) Prevent workers from forming unions

d) Allow child labour

8. **What is the minimum working age under the labour laws of Pakistan?** a) 10 years

b) 14 years ✓

c) 16 years

d) 18 years

9. **What is the maximum number of working hours per week allowed under labour laws?**

a) 30 hours

b) 40 hours

c) 48 hours ✓

d) 60 hours

10. **Which law sets the rules for employee wages in Pakistan?**
    a) Minimum Wages Ordinance, 1961 ✓
    b) Industrial Relations Act, 2012
    c) Labour Courts Act, 2003
    d) Factory Workers' Act, 1995

11. **Under labour laws, what is the legally mandated rest interval for workers?**
    a) 30 minutes after 5 hours of work ✓
    b) 10 minutes after 2 hours of work
    c) No rest period is required
    d) Only night shift workers get rest breaks

12. **Which of the following is a right of workers under the Labour Laws?**
    a) Right to receive agreed wages ✓
    b) Right to demand a salary increase every month
    c) Right to refuse overtime work without consequences
    d) Right to fire their manager

13. **Which of the following is NOT a duty of workers under Labour Laws?** a) To maintain discipline
    b) To extend cooperation to the employer
    c) To perform duties as per the agreement
    d) To demand ownership in the company ✓

14. **What is the penalty for violating unfair labour practice provisions?** a) Fine only
    b) Imprisonment only
    c) Fine or imprisonment ✓
    d) No penalty

15. **Which of the following laws provides compensation for workplace injuries?**
    a) Workers' Compensation Act, 1923 ✓
    b) Factories Act, 1934
    c) Employees' Social Security Ordinance, 1965

d) Industrial Relations Ordinance, 2002

These questions are based on **Lesson 45: Labour Laws** from **MGT611 - Business and Labour Law**. Let me know if you need further clarifications!